- Your contributions are made post-tax (i.e. after taxes have been paid on your income), which means there is no deferred tax benefit, but the earnings on your contributions will not be taxed come retirement age.
- You can make withdrawals on your contributions (just not your profits) before you are eligible without any tax penalties.
- You can open a Roth IRA regardless of your employment situation, as long as you've earned taxable income that equals or exceeds your contribution amount for the year.

Drawbacks

- There are income limits determining who is eligible to contribute.
- IRA contributions limits are much lower than the 401(k), 403(b), and 457(b) plans.

Simplified Employee Pension (SEP, or SEP IRA)—Employer and self-employed retirement plan. This retirement plan is most commonly used by small businesses and those who are self-employed (with or without employees), and allows you to contribute up to 25% of your earnings up to a certain amount, tax-deferred. Only employers (including yourself as a self-employed sole proprietor) can make SEP contributions, and each eligible employee (including yourself) must receive the same contribution percentage from you as the employer. A brokerage firm can typically help you set up this account type.

Benefits and Drawbacks of the SEP

Benefits

- You have the flexibility to choose your contribution requirement depending on how your business is doing, and contributions are not required each year.
- Contributions grow tax-deferred, which means you won't have to pay taxes until you start making withdrawals when you retire. These contributions also lower your annual taxable income during your working years.